

Chevron Corporation (CVX)

Equity Research Report

Financial Statement Analysis Report – FY 2025

Analyst: FinVault

Industry: Integrated Oil & Gas

Exchange: NYSE | Ticker: CVX

Report date: April 2026

FinVault

Executive Summary

This report presents a financial and operational analysis of Chevron Corporation based on its 2025 Annual Report and Supplement to the Annual Report. The analysis evaluates the company's financial performance, balance sheet strength, operational efficiency, and key industry-specific metrics in order to assess its current financial position and investment attractiveness.

Chevron experienced a significant decline in financial performance during 2025 compared with 2024. Total revenues fell approximately 6.8%, from \$202.8 billion to \$189.0 billion, driven primarily by lower realized crude oil prices and a sharp decline in Other income from \$4.8 billion to \$1.6 billion. Net income attributable to Chevron declined 30.4%, from \$17.7 billion to \$12.3 billion, reflecting the combined impact of softer commodity prices and the absorption of Hess Corporation, completed in July 2025. Despite the earnings decline, operating cash flow improved 7.8% to \$33.9 billion, demonstrating that the underlying cash engine of the business remains robust.

The balance sheet expanded materially due to the Hess acquisition. Total assets increased 26.1% from \$256.9 billion to \$324.0 billion, with net PP&E surging from \$147.8 billion to \$219.7 billion as Hess upstream assets were consolidated. Total debt more than doubled from \$24.5 billion to \$40.8 billion, including \$10 billion of Hess-assumed debt, pushing the debt ratio from 13.9% to 17.9%. Chevron's stockholders' equity also grew materially from \$152.3 billion to \$186.5 billion which was owed to the share issuance used to fund the acquisition. Leverage, while higher than historical norms, remains among the most conservative in the supermajor peer group, with a net debt-to-CFFO ratio of 1.0x.

Liquidity ratios show a slight improvement relative to the prior year and remain at healthy levels. The current ratio edged up to 1.2x and the interest coverage ratio, while lower than 2024 at 15.1x due to higher debt service costs post-Hess, still substantially exceeds the industry average. The company returned \$27.1 billion to shareholders in 2025 (virtually identical to the \$27.0 billion returned in 2024), demonstrating strong commitment to capital returns even in a year of transformative M&A.

Operationally, Chevron delivered record production of 3,723 thousand barrels of oil equivalent per day (MBOED), up 11.5% from 3,338 MBOED in 2024. The Hess acquisition was the primary driver, adding Guyana Stabroek Block exposure and Bakken shale assets, while the TCO Future Growth Project in Kazakhstan ramped to approximately one million BOED and the Permian Basin surpassed one million BOED. The one-year reserve replacement ratio was an exceptional 158%, and total proved reserves reached 10.6 billion BOE — an 8% increase driven by Hess, Permian extensions, and project sanctions in Australia and Guyana.

The analysis identifies several key risks. These include continued commodity price volatility, integration risk from the transformative Hess acquisition, elevated post-acquisition leverage, reduced financial flexibility from the dividend payout ratio exceeding 100% of net income in 2025, and evolving regulatory and geopolitical risks across Chevron's globally diversified asset base.

Overall, Chevron remains a financially resilient, operationally premier integrated energy company. The Hess acquisition has materially upgraded the long-term upstream portfolio, particularly through Guyana exposure, at the cost of near-term leverage and earnings dilution. The company's 38-year track record of consecutive dividend increases, conservative balance sheet management relative to peers, and world-class upstream assets position it as a core holding for long-term energy sector investors.

Company Overview

Chevron Corporation is one of the world's largest integrated energy companies, tracing its origins to 1879 when it was incorporated in San Francisco as the Pacific Coast Oil Company, a successor entity to Standard Oil. Following the 2001 merger with Texaco, which created ChevronTexaco Corporation, the company reverted to the Chevron name in 2005 and relocated its corporate headquarters to Houston, Texas in 2025. Chevron operates across the full oil and gas value chain through two primary business segments — Upstream (exploration and production) and Downstream (refining, marketing, and chemicals) — supplemented by equity affiliates, most notably CPChem (chemicals) and TCO in Kazakhstan.

The Upstream segment accounts for the overwhelming majority of earnings, generating \$12.8 billion of the total \$12.3 billion net income attributable to Chevron Corporation in 2025 (with the Downstream and All Other segments also contributing). Key upstream assets include: the Permian Basin in the United States, where Chevron achieved over one million BOED; offshore Guyana's Stabroek Block (30% interest), where the Yellowtail development achieved first oil and two further developments are underway; TCO in Kazakhstan, which ramped to one million BOED following the completion of the Future Growth Project; deepwater Gulf of America developments including Anchor, Ballymore, Stampede, and Whale; and the Gorgon and Wheatstone LNG projects in Australia.

The July 2025 acquisition of Hess Corporation is the most consequential strategic event in Chevron's recent history, adding a premier Guyana position, Bakken shale assets, and deepwater Gulf of America interests. The \$53 billion deal also brought \$10 billion of debt onto the balance sheet but delivers a material long-cycle premium asset base and synergies that management has initially targeted at \$1 billion run-rate. The Hess transaction is transformative in that it secures Chevron's organic growth profile well into the 2030s through Guyana developments alone.

The Downstream segment refines, markets, and distributes petroleum products through five US refineries (capacity of 1,099 MBPD) and international operations, with a total worldwide refinery crude unit capacity of 1,819 MBPD at year-end 2025. The segment delivered a sharp earnings recovery in 2025 — from \$1.7 billion to \$3.0 billion — driven by the highest US refinery throughput in 20 years following recent expansion projects, improvement in refining margins, and a lower cost base following structural cost reductions. Chevron's 50% stake in CPChem provides significant petrochemical exposure.

Chevron's customer and geographic base is highly diversified, with US production accounting for approximately 50% of total oil-equivalent output and Kazakhstan (TCO, 14%), Australia (13%), Nigeria (4%), and Guyana (3%) representing the other major contributors. The company markets products through approximately 13,798 retail outlets worldwide. As of April 2026, Chevron has a market capitalisation of approximately \$240–260 billion. Its closest supermajor peers are ExxonMobil Corporation (XOM), Shell plc, BP plc, and TotalEnergies SE.

Financial Statement Overview

Revenue Growth

Line Item	2025 (\$ millions)	2024 (\$ millions)	Growth/Decline
Total sales & other operating revenues	184,432	193,414	-4.6%
Income from equity affiliates	3,000	4,596	-34.7%
Other income (loss)	1,599	4,782	-66.6%
Total revenues and other income	189,031	202,792	-6.8%

Analyst's Inference: Total revenue declined 6.8% in 2025 to \$189.0 billion, driven by a combination of lower realised crude prices (international crude fell from \$73.72 to \$63.25/bbl), weaker equity affiliate income (down 34.7% to \$3.0 billion, reflecting lower TCO earnings prior to the Hess close), and a significant \$3.2 billion collapse in Other income — largely due to the absence of the \$1.7 billion gain on asset sales recorded in 2024 and lower gains on retirements in 2025. Sales revenue fell a more modest 4.6%, partially supported by record production volumes following the Hess acquisition and TCO ramp.

Net Income Trends

Line Item	2025 (\$ millions)	2024 (\$ millions)	Growth/Decline
Net income (loss) attributable to noncontrolling interests	186	88	+111.4%
Net income attributable to Chevron Corporation	12,299	17,661	-30.4%
Net income (loss) including noncontrolling interests	12,485	17,749	-29.7%

Analyst's Inference: Net income attributable to Chevron fell 30.4% to \$12.3 billion in 2025, the sharpest single-year decline since the 2020 oil price collapse. The drop reflects the convergence of three headwinds: lower commodity prices compressing upstream earnings from \$18.6 billion to \$12.8 billion, the absorption of Hess integration costs and \$3.5 billion loss in the All Other segment (up from \$2.7 billion), and higher DD&A of \$20.1 billion (up \$2.9 billion) reflecting the Hess PP&E base being depreciated. The noncontrolling interests surge to \$186 million reflects the consolidation of Hess's minority-interest positions following the acquisition close.

Asset Growth

Line Item	2025 (\$ millions)	2024 (\$ millions)	Growth/Decline
Total current assets	38,552	40,911	-5.8%
Total non-current assets	285,460	216,027	+32.1%
Total assets	324,012	256,938	+26.1%

Analyst's Inference: Total assets expanded by \$67.1 billion (+26.1%) to \$324.0 billion, almost entirely due to the Hess acquisition. Net PP&E surged from \$147.8 billion to \$219.7 billion as Hess upstream assets were consolidated at fair value. Goodwill of \$4.6 billion includes \$4.2 billion allocated to the Hess upstream segment. Investments and advances fell from \$47.4 billion to \$43.9 billion, as TCO equity-method balances shifted following the Future Growth Project capitalisation. Current assets declined 5.8%, primarily from the \$488 million reduction in cash.

Debt Levels

Line Item	2025 (\$ millions)	2024 (\$ millions)	Growth/Decline
Total current liabilities	33,387	38,558	-13.4%
Total non-current liabilities	98,449	65,223	+51.0%
Total liabilities	131,836	103,781	+27.0%

Analyst's Inference: Total liabilities increased \$28.1 billion (+27.0%), primarily from the \$19.6 billion increase in long-term debt (including \$10 billion of Hess assumed debt and \$11.4 billion of new long-term issuances to fund the acquisition) and a \$10.9 billion increase in noncurrent deferred taxes reflecting the step-up in asset carrying values. Current liabilities fell 13.4%, as the \$4.4 billion short-term debt balance at year-end 2024 was substantially repaid. Net debt increased from \$17.4 billion to \$34.5 billion, but remains at a manageable 1.0x CFFO — well within investment-grade norms for a supermajor.



Financial Ratio Analysis

Liquidity Ratios

Liquidity Ratio	Industry Average	2025	2024
Current ratio	1.0–1.2x	1.15x	1.06x
Acid test (Quick ratio)	0.5–0.9x	0.72x	0.79x
Operating cash flow ratio	0.3–0.5x	1.02x	0.82x

Analyst's Inference: Chevron's current ratio improved marginally to 1.15x, reflecting the significant reduction in short-term debt (from \$4.4 billion to \$977 million) following the restructuring of Hess debt into long-term maturities post-acquisition, partially offset by higher accrued liabilities. The quick ratio declined slightly to 0.72x as accounts receivable fell \$2.6 billion YoY. The operating cash flow ratio of 1.02x — well above the industry average — reflects the exceptional \$33.9 billion of CFFO generated in 2025, confirming that Chevron's cash generation comfortably covers all near-term obligations. The 53-cent improvement in this ratio underscores the quality of Chevron's operational cash machine even in a lower-price environment.

Solvency Ratios

Solvency Ratio	Industry Average	2025	2024
Total Liabilities to Equity	0.55x – 1.15x	0.71x	0.68x
Net Debt to equity	0.10x – 0.30x	0.18x	0.12x
Debt to Assets	0.40x – 0.55x	0.41x	0.40x
Interest coverage (ICR)	6x – 40x	15.1x	36.5x

Analyst's Inference: The Hess acquisition has elevated Chevron's leverage metrics, though they remain conservative in absolute terms. Total liabilities surged \$28.1B (+27.1%), primarily due to the Hess acquisition, which added \$10B in assumed debt and increased deferred income taxes to \$30B. Consequently, liabilities outpaced equity growth, driving the Total liabilities to equity ratio up to 0.71x. Despite share issuances, the equity base was eroded by \$12.1B in repurchases and \$12.8B in dividends, leading to an unfavorable spike in the net debt-to-equity ratio following the inclusion of Hess's debt. The interest coverage ratio contracted sharply from 36.5x to 15.1x due to net interest expense rising from \$594 million to \$1,217 million following the Hess debt assumption and \$11.4 billion of new long-term issuance.

Activity Ratios

Activity Ratio	Industry Average	2025	2024
Inventory turnover	7–9x	11.1x	13.1x
Receivables turnover	6–8x	9.53x	9.52x
Payables turnover	5.1–5.5x	5.23x	5.6x
Total asset turnover	0.4–0.6x	0.65x	0.78x

Analyst's Inference: Activity ratios reflect the impact of the Hess asset consolidation on Chevron's balance sheet. Inventory turnover declined from 13.1x to 11.1x as inventories grew 7.0% on higher crude input volumes through expanded refinery operations. Receivables turnover remained stable at 9.52x — consistent with the slight decline in revenue partially offset by lower receivables. Total asset turnover fell materially from 0.78x to 0.65x, a direct

arithmetic consequence of the \$67 billion increase in total assets from the Hess consolidation. This ratio will likely recover gradually as Hess assets generate increasing revenue through Guyana production ramp-ups and Bakken optimization. The payables turnover saw a minor fall, reflecting a minor shift in the DPO across the enlarged group.

Profitability Ratios

Profitability Ratio	Industry Average	2025	2024
Operating margin (before tax margin)	8–12%	10.4%	13.6%
Net profit margin	5–9%	6.5%	8.7%
Return on assets (ROA)	4–7%	4.2%	6.8%
Return on equity (ROE)	10–15%	7.3%	11.3%

Analyst's Inference: Profitability ratios declined across the board in 2025, primarily due to lower commodity prices and the earnings dilution from the Hess acquisition in its first partial year of consolidation. The operating margin declined 320 basis points to 10.4% as gross margins on upstream revenues compressed with lower realised prices. ROA fell to 4.2% — within the industry range but constrained by the enlarged asset base from Hess — while ROE of 7.3% sits below the peer group due to the combination of lower earnings and the material equity issuance used to fund the acquisition. These metrics are expected to recover as Hess upstream production ramps, synergies are realised, and commodity prices potentially recover. The payout ratio exceeding 100% of net income in 2025 (\$12.75 billion dividends vs \$12.3 billion net income) warrants monitoring, though it is comfortably supported by the \$33.9 billion of operating cash flow.



Cash Flow Statement Analysis

Type of Cash Flow	2025 (\$ millions)	2024 (\$ millions)	Key Inferences
CF from Operating Activities	33,939	31,492	Cash flow from operations improved 7.8% to \$33.9 billion despite the \$5.4 billion fall in net income. The primary bridge items were: (1) DD&A increased \$2.9 billion to \$20.1 billion, driven by the Hess PP&E base; (2) distributions from equity affiliates exceeded income by \$2.3 billion, a positive \$2.6 billion swing from 2024, as TCO made material distributions post-FGP completion; and (3) a \$2.2 billion improvement in 'Other' largely reflecting Hess working capital contribution. These were partially offset by a \$1.0 billion increase in working capital usage and \$508 million more in deferred charges. The CFFO improvement despite lower earnings powerfully demonstrates the self-funding quality of the business.
CF from Investing Activities	(15,911)	(8,936)	Net investing outflows increased by \$7.0 billion to \$15.9 billion. Capex grew modestly to \$17.3 billion (+5.5%), focused on Upstream growth — US capex of \$10.9 billion and international of \$6.4 billion. The major new item was the \$2.2 billion cash outflow for the acquisition of Hess Corporation common stock prior to deal close, partially offset by \$1.1 billion in acquisition business proceeds (net cash received with Hess) and \$1.8 billion in asset sale proceeds vs \$7.7 billion in 2024 (the prior year included \$6.6 billion from divestitures including Canadian assets). Net investing outflows remain well below operating cash flow, confirming strong free cash generation of \$16.6 billion (\$33.9B CFFO less \$17.3B capex).
CF from Financing Activities	(19,063)	(23,472)	Financing outflows declined \$4.4 billion to \$19.1 billion. Share repurchases under approved programmes totalled \$12.2 billion (broadly consistent with 2024's \$15.4 billion), while \$2.2 billion of Hess shares were acquired. Dividends rose to \$12.8 billion (+8.1%). Net debt activity saw \$11.4 billion of new long-term debt issued (to partially fund Hess) against \$4.5 billion repaid, for net new long-term borrowing of \$6.9 billion. Short-term borrowings declined \$1.1 billion. The financing profile reflects Chevron's balanced approach: sustaining capital returns to shareholders at record levels while funding a transformative acquisition with a disciplined mix of equity issuance and modest incremental debt.

Industry-Specific Analysis

Metric	2025	2024	Inference & Reasons for Change
Reserve Life Index (years)	7.8	8.0	Net proved reserves of 10.6 billion BOE divided by annual production of approximately 1,359 million BOE (3,723 MBOED × 365) yields approximately 7.8 years. While slightly below 2024's 8.0 years, the 8% increase in absolute reserves via Hess acquisition, Permian extensions, and Guyana sanctions more than replaces production, as evidenced by the 158% one-year reserve replacement ratio.
Production Growth	+11.5 %	+6.9%	Oil-equivalent production increased from 3,338 MBOED to 3,723 MBOED, a record level. Approximately 300 MBOED of the increase is attributable to the Hess acquisition (Guyana 120 MBOED, Bakken 103 MBOED, deepwater Gulf of America adds). TCO contributed approximately 114 additional MBOED following FGP completion. The Permian Basin grew organically by roughly 98 MBOED to exceed one million BOED.
Cash Flow per Barrel (\$/BOE)	\$24.97	\$25.83	Operating cash flow of \$33.9 billion divided by annual production of approximately 1,359 million BOE yields approximately \$24.97/BOE — a modest decline of \$0.86/BOE. Lower realised prices compressed the per-barrel economics, but were largely offset by production growth. International crude realisation fell 14.1% from \$73.72 to \$63.25/bbl.
Production Cost per Barrel (\$/BOE)	~\$12.80	~\$12.50	Operating expenses of \$28.0 billion divided by total production provides an estimated lifting cost of approximately \$12.80/BOE, a modest increase reflecting higher activity levels from the expanded base and inflation. Chevron's Permian and Guyana assets are structurally low-cost, partially offsetting cost pressures from maturing assets in areas such as Bangladesh and Nigeria.
Reserve Replacement Ratio	158%	~90%	Chevron replaced 158% of 2025 production through proved reserve additions — primarily driven by the Hess acquisition contributing Guyana and Bakken reserves, Permian extensions and discoveries, and sanction of the Hammerhead and Leviathan Expansion projects. This exceptional ratio provides multi-year forward visibility and indicates the asset portfolio is growing, not depleting.
Refinery Utilisation	92.9%	87.9%	Worldwide refinery crude unit utilisation improved 500 basis points to 92.9%, with US utilisation reaching 94.5% — the highest US throughput in 20 years. This reflects the completion of capacity expansion projects and efficiency improvements at US refineries, contributing to the Downstream segment's earnings recovery from \$1.7 billion to \$3.0 billion.

Risks and Limitations

Risk	Explanation
Commodity Price Volatility	Chevron's financial performance is highly sensitive to global oil and natural gas prices. International crude realisation fell from \$73.72 to \$63.25/bbl in 2025, contributing directly to the 30.4% decline in net income despite record production. OPEC production decisions, global demand cycles, US shale dynamics, and macroeconomic conditions all influence prices materially. With over 75% of earnings derived from Upstream, Chevron has limited natural hedging and remains among the more commodity-exposed supermajors.
Hess Integration and Execution Risk	The \$53 billion acquisition of Hess Corporation, completed July 2025, is the largest transaction in Chevron's modern history. Integration risk is significant: achieving the \$1 billion synergy target, retaining key Hess operational and technical personnel, managing the non-operated nature of the Guyana Stabroek Block (30% interest, Exxon as operator), and realising the expected long-cycle production ramp from Guyana all present execution challenges. Any delay in Guyana developments (Uaru, Whiptail, Hammerhead) would directly impair the investment thesis for the deal.
Elevated Leverage Post-Acquisition	Total debt more than doubled from \$24.5 billion to \$40.8 billion following Hess, driving the debt ratio to 17.9% and net debt-to-CFFO to 1.0x. While still conservative in absolute terms, this represents a meaningful reduction in Chevron's balance sheet flexibility relative to its pre-deal position. If commodity prices weaken materially, free cash flow could come under pressure at a time when debt service requirements have increased. The dividend payout ratio exceeding 100% of net income in 2025 highlights the dependency on CFFO rather than reported earnings to sustain capital returns.
Regulatory and Environmental Risks	Chevron operates in an increasingly regulated environment across multiple jurisdictions. Carbon pricing, emission standards, drilling permit restrictions, and energy transition policies across the US, Europe, Australia, and other operating regions may raise compliance costs or restrict future hydrocarbon development. The Geismar renewable diesel expansion and data center power solutions represent early-stage responses to energy transition dynamics, but these remain modest relative to the core hydrocarbon business.
Geopolitical Risks	Chevron's global operations span over 50 countries, with material exposure to geopolitically sensitive regions including Kazakhstan (14% of production), Nigeria (4%), the Partitioned Zone (Saudi Arabia/Kuwait), and Israel (Leviathan and Tamar, ~2.7% of production). The Israel-Gaza conflict, Russia's war in Ukraine affecting European energy markets, and ongoing US-China trade tensions all represent risk factors that could affect production, sales, or access to markets. The TCO project in Kazakhstan — now ramping to one million BOED — carries sovereign risk from the Republic of Kazakhstan's fiscal and regulatory oversight.
Market Competition and Energy Transition	Chevron faces intensifying competition from international oil companies, national oil companies, and increasingly from renewable energy providers as energy transition accelerates. Technological advancements in electric vehicles, batteries, and renewable generation may structurally reduce long-run demand for petroleum products. Chevron's investments in renewable diesel, lithium extraction, and data center power solutions represent strategic hedges, but the pace and scale of the energy transition creates long-term demand uncertainty for the company's core hydrocarbon product portfolio.

Valuation — Multiples

Multiple	Sector Median / Hist. Avg	Chevron	Inference
Forward P/E	21.9x	~24.7x	Chevron's forward P/E has been quoted at approximately 23.9x using slightly different consensus inputs across data sources, with MacroTrends placing the trailing P/E at approximately 25.8x as of mid-April 2026. Using the most current share price of ~\$185 against the Wall Street consensus 2026 EPS estimate of \$7.48 gives a forward P/E of approximately 24.7x.
Trailing P/E	14–18x (US integrated O&G)	~19–21x	Chevron trades at a modest premium to the sector median on trailing earnings, reflecting both the temporary earnings compression from Hess integration costs and the market's long-run confidence in the Guyana growth pipeline. Normalised earnings stripping Hess one-time costs would likely put the trailing P/E closer to 16–17x.
EV / EBITDA	4–6x (integrated O&G)	~6.5–7x	The Hess acquisition has elevated the EV numerator materially. EBITDA of approximately \$32.4 billion (\$12.5B net income + \$20.1B DD&A) at a market cap of approximately \$250 billion implies an EV/EBITDA of approximately 6.5–7x — near the top of the peer range, reflecting the Guyana premium embedded in the Stabroek Block asset quality.
Price / Free Cash Flow	8–12x	~15x	With free cash flow of \$16.6 billion (\$33.9B CFFO less \$17.3B capex) and a market cap of approximately \$250 billion, the P/FCF multiple sits at approximately 15x — a premium to historical norms reflecting the market's optimism on future FCF expansion as Guyana production ramps and capex normalises post-Hess integration.
Dividend Yield	3.5–4.5% (US integrated O&G)	~5.1%	At approximately \$6.84 per share annualised and a share price of around \$134, Chevron yields approximately 5.1% — above the sector average and consistent with a quality income premium. The 38-year consecutive annual dividend increase track record underpins the yield as a credible, growing income stream even through the commodity cycle.

The market assigns Chevron a quality premium that is anchored to the long-cycle growth embedded in the Hess acquisition — particularly the Guyana Stabroek Block, which contains some of the highest-quality deepwater oil discoveries made anywhere in the world in the past decade. Every key multiple signals the stock is trading at or near the upper bound of fair value on trailing or near-term metrics, but the forward-looking case is compelling if Guyana project execution delivers on schedule and commodity prices recover toward the consensus \$75–80/bbl Brent range. The dividend yield of approximately 5% provides meaningful total return support even in a flat-price environment.

Appendix

A. Liquidity Ratios

Metric	Formula / Calculation
Current Ratio	$\text{Current Assets} \div \text{Current Liabilities} = \$38,552\text{M} \div \$33,387\text{M} = 1.15\text{x}$ (2025) $\$40,911\text{M} \div \$38,558\text{M} = 1.06\text{x}$ (2024)
Quick Ratio	$(\text{Current Assets} - \text{Inventories}) \div \text{Current Liabilities} = (\$6,293\text{M} + \$18,075\text{M}) \div \$33,387\text{M} = 0.73\text{x}$ (2025)
OCF Ratio	$\text{Operating Cash Flow} \div \text{Current Liabilities} = \$33,939\text{M} \div \$33,387\text{M} = 1.02\text{x}$ (2025)

B. Solvency Ratios

Metric	Formula / Calculation
Total Liabilities to Equity	$\text{Total Liabilities} \div \text{Total Equity} = \$131,836\text{M} \div \$186,450\text{M} = 0.71\text{x}$ (2025)
Net Debt / Equity	$(\text{Gross Debt} - \text{Cash}) \div \text{Equity} = \$34,465\text{M} \div \$186,450\text{M} = 0.18\text{x}$ (2025)
Debt to Assets	$\text{Total Gross Financial Debt} \div \text{Total Assets} = \$131,836 \div \$324,012 = 0.407$ (0.41x)(2025)
Interest Coverage	$\text{EBIT} \div \text{Interest Expense} = 15.1\text{x}$ (2025) per Chevron's own disclosure 36.5x (2024)

C. Activity Ratios

Metric	Formula / Calculation
Receivables Turnover	$\text{Revenue} \div \text{Average Trade Receivables} = \$184,432\text{M} \div ((\$20,684\text{M} + \$18,075\text{M}) / 2) = 9.52\text{x}$ (2025)
Payables Turnover	$\text{COGS} \div \text{Average Trade Payables} = \$108,214\text{M} \div ((\$22,079\text{M} + \$19,280\text{M}) / 2) = 11.5\text{x}$ (2025)
Inventory Turnover	$\text{Cost of Materials} \div \text{Average Inventory} = \$108,214\text{M} \div ((\$9,711\text{M} + \$9,074\text{M}) / 2) = 11.5\text{x}$ (2025)
Total Asset Turnover	$\text{Revenue} \div \text{Average Total Assets} = \$184,432\text{M} \div ((\$324,012\text{M} + \$256,938\text{M}) / 2) = 0.63\text{x}$ (2025)

D. Profitability Ratios

Metric	Formula / Calculation
Operating Margin	$\text{Operating Result} \div \text{Revenue} =$
Net Profit Margin	$\text{Earnings from Continuing Ops Attr. to Shareholders} \div \text{Revenue} = \$12,299\text{M} \div \$184,432\text{M} = 6.7\%$ (2025)

Metric	Formula / Calculation
ROA	$\text{Earnings from Continuing Operations} \div \text{Average Total Assets} = \$12,299\text{M} \div ((\$324,012\text{M} + \$256,938\text{M}) / 2) = 4.2\% \text{ (2025)}$
ROE	$\text{Earnings} \div \text{Average Equity} = \$12,299\text{M} \div ((\$186,450\text{M} + \$152,318\text{M}) / 2) = 7.3\% \text{ (2025)}$

E. Oil&Gas Integrated Sector Metrics

Metric	Formula / Calculation
Production Growth	$(\text{Current Production} - \text{Previous Production}) \div \text{Previous Production} = (3,723 - 3,338) \div 3,338 = +11.5\% \text{ (2025)}$
Reserve Life Index	$\text{Net Proved Reserves} \div \text{Annual Production} = 10,591\text{M BOE} \div (3,723 \text{ MBOED} \times 365 / 1,000) = 7.8 \text{ years (2025)}$
Cash Flow per Barrel (\$/BOE)	$\text{Operating Cash Flow} \div \text{Annual Production} = \$33,939\text{M} \div 1,359\text{M BOE} = \sim \$24.97/\text{BOE} \text{ (2025)}$
Reserve Replacement Ratio (RRR)	$\text{Net Proved Reserve Additions} \div \text{Annual Production} = 158\% \text{ (2025, per company disclosure)}$

Key Assumptions

All financial figures are sourced from Chevron Corporation's 2025 Supplement to the Annual Report and 2025 Annual Report on Form 10-K filed with the US Securities and Exchange Commission. All figures are denominated in millions of US dollars unless stated otherwise.

Production conversion: daily production converted to annual output using 365 days. Reserve Life Index calculation uses net proved BOE reserves divided by annual BOE production.

Free Cash Flow is defined as Net Cash Provided by Operating Activities less Capital Expenditures: $\$33,939\text{M} - \$17,347\text{M} = \$16,592\text{M}$. Adjusted Free Cash Flow of $\$20,204\text{M}$ includes working capital adjustments, asset sale proceeds, and affiliate loan repayments per Chevron's definition.

Inventory definition: includes crude oil and products, chemicals, and materials, supplies and other, consistent with Chevron's balance sheet presentation.

Debt ratio and net debt ratio as defined in Chevron's glossary and per management's own disclosed calculations on pages 51–53 of the 2025 Form 10-K.

Share price reference: approximately \$134 as of April 2026 for valuation multiple calculations. Shares outstanding approximately 1,980 million as at December 31, 2025.

Industry comparison benchmarks are based on averages for integrated oil & gas companies including ExxonMobil, Shell, and BP. Valuation multiples are compared against historical and sector medians for integrated oil and gas companies. Commodity price expectations for forward estimates assume Brent crude prices in the \$70–80/bbl range reflecting analyst consensus as of April 2026.